

PUBLICATIONS DE LA COUR PERMANENTE DE JUSTICE
INTERNATIONALE

SÉRIE A — N° 12

RECUEIL DES ARRÊTS

AFFAIRE RELATIVE A L'USINE
DE CHORZÓW (INDEMNITÉS)

ORDONNANCE DU 21 NOVEMBRE 1927

PUBLICATIONS OF THE PERMANENT COURT
OF INTERNATIONAL JUSTICE.

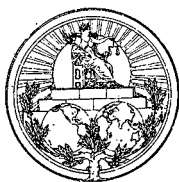
SERIES A.—No. 12

COLLECTION OF JUDGMENTS

CASE CONCERNING THE FACTORY
AT CHORZÓW (INDEMNITIES).

ORDER MADE ON NOVEMBER 21st, 1927

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REQUEST FROM THE GERMAN GOVERNMENT
FOR AN INTERIM MEASURE OF PROTECTION
IN THE CASE CONCERNING THE FACTORY AT CHORZÓW
(INDEMNITIES).

[*Translation.*]

To the President and Members of the Permanent Court of International Justice.

The undersigned, being duly authorized by the GERMAN GOVERNMENT,

Having regard to the Application in the case concerning the factory of Chorzów (claim for indemnities) submitted on February 8th, 1927,

Having regard to the judgment rendered by the Court on July 26th, 1927, and

Having regard to Article 41 of the Statute and Article 57 of the Rules of Court,

Has the honour to submit the following request :

In Judgment No. 8 the Court laid down that "it is a principle of international law that the breach of an engagement involves an obligation to make reparation in an adequate form. Reparation therefore is the indispensable complement of a failure to apply a convention and there is no necessity for this to be stated in the convention itself." (Page 21.)

The obligation incumbent upon the Polish Government, arising from its attitude in regard to the Oberschlesische Stickstoffwerke and Bayerische Stickstoffwerke, which was found by the Court in its Judgment No. 7 not to be in conformity with the international engagements of Poland, is thus established. In principle the German Government ask only for pecuniary compensation which, in order to be adequate, in accordance with the Court's words, could not be less than a certain minimum ; it is therefore in reality only the upper limit of the sum to be awarded that is in dispute.

When, during the direct negotiations with the Polish Government, the German Government declared themselves to be ready to accept the sum then offered by the Polish Government, they were prompted, *inter alia*, by the motive that at that moment a very favourable opportunity had arisen which would have permitted the Companies in question to re-establish the economically sound position which they had lost through the occupation and expropriation of their undertaking

without compensation. The same situation still existed when, on February 8th, 1927, the German Government submitted their Application, seeing that they hoped that the final judgment of the Court would be pronounced during its ordinary session of 1927. These hopes were deceived by the objection to the jurisdiction raised by the Polish Government, and the possibility which then existed of making use of the moment for reconstruction was lost. The Polish Government's request for a prolongation of the time-limits fixed in the suit involves a further considerable delay before the final rendering of judgment. If it were necessary to wait for this judgment, further opportunities for economic reconstruction which have meanwhile arisen could also not be made use of.

The German Government emphasize that it is not only the amount of the compensation which is essential, but, at least to an equal extent, the date of payment. Seeing that opportunities of resuming economic activity do not arise every day, the damage caused by the illegal occupation and expropriation increases every month; and, moreover, the prejudice caused through further delay cannot be made good in actual form. The object of an undertaking of an industrial nature, particularly a chemical undertaking, consists not only in the making of profit but also in obtaining at the right moment a share in world production, in influencing the international market and in increasing technical and scientific experiments. If, during periods of the greatest importance for the development of a branch of industry, an undertaking is excluded from that development, not only its own but also the national economic situation is prejudiced in a manner that no pecuniary compensation, however great, can repair.

The increase of production, the technical progress made and the growing importance of chemical fertilizers during recent years are well known. The following figures may be given as examples. The world consumption of nitrate was

in 1913-1914,	770,000	metr. t. nitrate, of which	337,000	t. artificial,
„ 1920-1921,	950,000	„ „ „ „ „	530,000	„ „ „
„ 1926-1927,	1,300,000	„ „ „ „ „	900,000	„ „ „
„ 1927-1928,	1,520,000	„ „ „ „ „	1,320,000	„ „ „

As regards factories worked by the Bayerische Company, that of Piesteritz (Central Germany), constructed with a capacity of 30,000 tons, produced in 1922 25,000 tons; and at present, although only half the plant is used, thirty to thirty-six thousand tons are produced; the Trostberg factory (Upper Bavaria) produced in 1920 7,000 tons of nitrate, and at the present time 33,000 tons. During these last years, which

have been noteworthy for a very great increase in production of artificial nitrate, the Bayerische and, with it, the Oberschlesische, would have had the opportunity of sharing in the increase of world production, particularly in France, Belgium and Italy. Having regard to the fact that the working of the Chorzów factory had passed out of their hands, no compensation having been paid for the unlawful occupation and expropriation, they were obliged to refuse offers made to them. The resulting damage is irreparable.

At the present time several new schemes are afoot, the realization of which would be of the utmost importance for the Companies in question ; one of them is, further, of national economic interest. The German Government, as regards these schemes, refer to the solemn declaration duly sworn and annexed hereto ¹.

In these circumstances, seeing that the principle of compensation is recognized and that only the maximum sum to be paid by the Polish Government is still in doubt, and seeing that unless payment be immediate, the amount of the damage and of the compensation would considerably increase, and seeing that the prejudice caused by a further delay would actually be irreparable, the German Government consider that an interim measure of protection whereby the Court would indicate to the respondent Government the sum to be paid immediately, as a provisional measure and pending final judgment, is essential for the protection of the rights of the Parties, whilst the affair is *sub judice*.

The origin of the provisions of Article 41 of the Statute shows that not only an omission by the Parties but also a definite act was considered as the subject of a measure of protection. The first draft of the provision in question, as it came from the Committee of Jurists (Minutes of the Committee, 1920, pp. 561 *et seq.*, 608, 735), referred only to omissions to be pointed out in the case of acts which had already taken place or which were imminent. But, in the Third Committee, set up by the Council of the League of Nations at its Brussels Session in December, 1920, M. Lafontaine (Belgium) asked the question whether the proposed article would also be applicable in the case where an omission to act and not an act which has already taken place or was imminent threatened the rights of one of the Parties. The discussion on this subject ended with a change in the original draft, proposed by M. Ricci-Busatti, as a result of which the words "act which has already taken place or is imminent" were struck out and the wider expression to be found in Article 41 of the Statute was

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selected. As a reason for this change, it was pointed out that *"thus all possible cases would be covered"* (cf. League of Nations, Permanent Court of International Justice, Documents, pp. 103, 104). And in the report of the Third Committee, M. Hagerup said: *"The Committee has slightly altered this article in such a way as to make it cover omissions which infringe a right as well as positive acts"* (*loc. cit.*, p. 172).

As regards the amount which the German Government ask the Court to indicate to the Polish Government that they should pay immediately, they have in mind only a minimum sum such as is indispensable for the moment.

As a means of provisionally estimating the value of the factory (land and buildings, etc., set up thereon), the German Government attach to the present Application the expert opinion¹ of the American firm Lybrand, Ross Bros. and Montgomery, Accountants and Auditors, Members of the American Institute of Accountants, Berlin, Unter den Linden. The Company in question has its headquarters in New York and branches in Berlin, London, Paris, etc. It has carefully examined the books of the Bayerische and arrives at a conclusion of 65 million Reichsmarks. This result, arrived at by different methods of calculation from those employed in the Application, is almost identical with the result reached in the Application. The German Government consider that this concordance furnishes a noteworthy confirmation of the accuracy of their conclusions. In any case, they are of opinion that, for the purposes of the present request, the figure of 65 million may serve as a basis for provisional and immediate payment. Leaving on one side interest at 6 % up to July 3rd, 1927 (about 17 million Reichsmarks), and depreciation fixed in the Case at about eight million, if 65 million be divided by two, a sum of 32,500,000 Reichsmarks is obtained. In asking now for 25 million—which was, moreover, the sum on which the two Governments all but agreed in January of this year—the German Government are convinced that their request is well within the limits of their established rights.

As regards the value of patents, licences, etc., wrongfully used by the Polish Government up to the present time, the representative of the latter Government formally admitted in Court at the sitting of February 20th, 1926, that the Polish Government in no way deny their obligation to compensate; this admission is repeated in the Polish Government's note of September 9th, 1926 (cf. German Government's Case, p. 4). According to the

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calculation given in the above Case, page 20, up to July 3rd, 1927, a sum of seven and a half million was involved. In asking at the present moment for five million under this head, the German Government are similarly convinced that that sum falls well within the limit of their legitimate demands.

It goes without saying that if, contrary to all expectation, the final sum arrived at by the Court in its definitive judgment were less than 30 million Reichsmarks, the German Government hereby declare themselves ready to refund the surplus.

THE COURT WILL BE PLEASED,

in virtue of Article 41 of the Statute, to indicate to the Polish Government that they must pay to the German Government as a provisional measure the sum of thirty millions of Reichsmarks within one month from the date of the Order sought.

(Signed) Dr. E. KAUFMANN,
Agent for the German Government.

Berlin, October 14th, 1927.